

Sources of Finance for Business Projects and Investment Decisions

An Examination of Long-Term, Medium-Term and Short-Term Financing Options

1.0 Introduction

Every organisation, whether a small trading concern or a large multinational corporation, arrives at a point where it must decide how to fund a project, an expansion drive, or the day-to-day running of its operations. The decision on what to invest in is only half the problem; the other half, often the more difficult one, is deciding where the money to fund that decision will come from. This is the essence of financing decisions in corporate finance, and it is a question that no organisation can afford to treat casually, because the wrong choice of financing can turn an otherwise profitable venture into a liability.

Sources of finance available to a company are conventionally grouped into three broad categories based on the length of time for which the funds are required and the period over which they are expected to be repaid: long-term sources, medium-term sources, and short-term sources. This classification is not arbitrary. It reflects a fundamental principle of sound financial management known as the matching principle, which holds that the tenure of a financing arrangement should correspond, as closely as possible, to the useful life or payback period of the asset or project it is funding. Financing a piece of machinery expected to last fifteen years with a ninety-day overdraft, for instance, exposes a business to serious liquidity risk, just as tying up funds meant for daily stock purchases in a ten-year bond would starve the business of working capital.

This paper sets out to discuss, in some depth, the various subcategories that fall under each of these three broad classifications. For each source, attention is paid to its defining characteristics, the circumstances under which it is typically used, and the advantages and drawbacks that a financial manager must weigh before settling on it. The aim is not merely to list these sources but to show how they fit into the wider logic of financial decision-making within an organisation.

2.0 Long-Term Sources of Finance

Long-term sources of finance are funds that are committed to a business for a period exceeding, in most classifications, five years, and in some cases extending indefinitely, as is the case with equity capital. These funds are typically deployed to acquire fixed assets, finance mergers and acquisitions, undertake major expansion programmes, or fund research and development activity whose returns will only materialise over an extended horizon. Because the capital is locked in for so long, providers of long-term finance generally demand a higher return to compensate for the risk and the opportunity cost of tying up their resources, and the process of raising such finance is usually more elaborate, involving regulatory approval, due diligence, and in many cases public disclosure.

2.1 Ordinary (Equity) Shares

Ordinary shares represent the most basic form of ownership capital in a company. When an organisation issues ordinary shares, it is in effect selling a stake in itself to investors in exchange for permanent capital that carries no fixed obligation to repay. Holders of ordinary shares become part-owners of the business, entitled to vote at general meetings, to receive dividends when the company declares them, and to a residual claim on assets in the event of liquidation, after all other creditors and preference shareholders have been settled.

The principal attraction of equity financing is that it does not burden the company with fixed interest charges or a repayment schedule; dividends are paid only when the board decides profits can be distributed, and in a difficult trading year a company can simply withhold dividends without defaulting on any obligation. Equity also strengthens the capital base of a business, which in turn improves its capacity to borrow, since lenders view a well-capitalised firm as less risky. On the other hand, issuing new ordinary shares dilutes the ownership and control of existing shareholders, and because dividends are paid out of after-tax profit and are not tax-deductible, equity is often a more expensive source of capital than debt when viewed purely from a cost-of-capital standpoint. The process of a public issue, listing requirements, and the scrutiny that comes with being answerable to a wider shareholder base also add to the administrative burden of this source.

2.2 Preference Shares

Preference shares occupy a middle ground between ordinary equity and debt. Holders of preference shares are entitled to a fixed rate of dividend, which must be paid before any dividend is paid to ordinary shareholders, and in the event of winding up, preference shareholders rank ahead of ordinary shareholders in the distribution of assets, though behind all creditors. Preference shares may be cumulative, meaning unpaid dividends accumulate and must eventually be settled before ordinary shareholders receive anything, or non-cumulative, where a missed dividend is simply forfeited. Some preference shares are also redeemable, carrying a fixed date on which the company is expected to buy them back, while others are irredeemable and remain outstanding indefinitely.

From the issuing company's perspective, preference shares allow it to raise capital without diluting voting control, since preference shareholders typically have no voting rights except on matters directly affecting their class of shares. The fixed dividend commitment, however, still represents a cash outflow that must be honoured for the company to maintain investor confidence and access to future capital, even though a missed preference dividend does not amount to legal default in the way a missed loan repayment would. Preference share capital tends to appeal to investors who want a steadier income stream than ordinary shares offer but who are also willing to accept lower priority than a bondholder in exchange for a marginally higher yield.

2.3 Debentures and Corporate Bonds

A debenture, or corporate bond, is a formal, long-term debt instrument through which a company borrows a specified sum from the investing public or from institutional lenders, promising to pay a fixed rate of interest, known as the coupon, at regular intervals, and to repay the principal amount at a stated maturity date. Debentures may be secured, backed by a specific charge over company assets, or unsecured, relying solely on the general creditworthiness of the issuer. They are also frequently convertible, granting the holder the option to exchange the debenture for ordinary shares at a predetermined ratio, which allows the company to offer a lower coupon in exchange for the conversion feature.

Debentures allow a company to raise substantial long-term capital while retaining full ownership and control, since debenture holders are creditors, not owners, and have no voting rights. Interest on debentures is also tax-deductible, which lowers the effective cost of this form of finance relative to equity. The trade-off is that interest must be paid regardless of the company's profitability, and failure to do so can trigger default proceedings that may ultimately lead to the winding up of the business. A heavy reliance on debentures also raises a company's financial gearing, increasing the risk borne by ordinary shareholders and potentially making the company less attractive to future lenders and investors who worry about over-leveraging.

2.4 Long-Term Bank Loans and Term Loans from Development Finance Institutions

Long-term loans obtained from commercial banks or from specialised development finance institutions represent another significant source of long-term capital, particularly for businesses that are not yet large enough, or not inclined, to access the capital market directly through a public share or bond issue. These loans typically run for periods of between five and twenty years and are usually secured against fixed assets such as land, buildings, or plant and machinery. Repayment is structured according to an agreed schedule, often incorporating a moratorium period during which only interest, and not principal, is paid, to allow a new project time to become cash-generative.

The advantage of this source lies in its relative accessibility to businesses of varying sizes, including small and medium enterprises that development finance institutions specifically exist to support, and in the flexibility that can be negotiated directly with a single lender, as opposed to the rigid terms of a public bond issue. However, banks typically impose restrictive covenants that limit the borrower's freedom to take on additional debt, pay dividends beyond a certain level, or dispose of key assets without the lender's consent, and the requirement for tangible collateral can shut out businesses that are asset-light but otherwise creditworthy.

2.5 Retained Earnings (Ploughed-Back Profit)

Retained earnings refer to that portion of a company's after-tax profit which is not distributed to shareholders as dividends but is instead reinvested back into the business. Although it does not

involve raising money from an external party, retained earnings is properly classified as a long-term source of finance because it represents an internally generated pool of capital that management can deploy toward long-term projects without the delays, costs, or scrutiny associated with external fundraising.

The chief virtue of retained earnings is that it carries no issue costs, no interest obligation, and no dilution of ownership, making it, in a strict sense, the cheapest and most convenient source of long-term capital available to a profitable company. It also signals financial strength and self-sufficiency to the market. The obvious limitation is that it is only available to businesses that are already profitable and that have a history of earnings sufficient to fund large projects; a young or currently loss-making enterprise, however promising, simply has no retained earnings to draw upon, and even a profitable firm may find that its accumulated reserves fall well short of what a major capital project requires.

2.6 Venture Capital and Private Equity

Venture capital refers to funds provided by specialist investors, often organised as venture capital firms or private equity houses, to businesses, typically start-ups or early-stage companies, that show high growth potential but that carry a level of risk that makes them unattractive to conventional lenders and public markets. In exchange for their capital, venture capitalists usually take an equity stake in the business and, in many cases, a seat on the board or some other active role in guiding strategy, since their return is tied directly to the eventual growth and, ideally, exit of the company through an acquisition or public listing.

This source of finance is particularly valuable to innovative or technology-driven businesses that have strong growth prospects but lack the collateral or track record that banks require, and it often comes bundled with valuable mentorship, industry contacts, and managerial expertise that the investee company would otherwise lack. On the other hand, venture capital financing generally demands a significant equity stake and a degree of influence over strategic decisions that founders may find intrusive, and venture capitalists typically expect an exit within a defined horizon, which can create pressure to pursue growth or a sale on a timeline that does not always align with the founders' own vision for the business.

2.7 Finance Lease

A finance lease is an arrangement under which a leasing company purchases an asset, most commonly heavy equipment, vehicles, or machinery, and leases it to a business for a period that covers substantially the whole of the asset's useful economic life. Although legal ownership remains with the lessor for the duration of the lease, the risks and rewards of ownership, including the obligation for maintenance in many arrangements, effectively transfer to the lessee, and at the end of the lease term the lessee frequently has the option to purchase the asset outright for a nominal sum.

Finance leasing allows a business to acquire the use of an expensive long-term asset without committing a large sum of capital upfront, thereby preserving cash and existing credit lines for other purposes, and lease rentals are often fully tax-deductible as a business expense. The arrangement does, however, commit the business to a fixed schedule of payments over a long period regardless of how intensively the asset is actually used, and the cumulative cost of leasing over the full life of an asset can, in some cases, exceed what outright purchase using a term loan would have cost.

3.0 Medium-Term Sources of Finance

Medium-term sources of finance are funds that are typically required and repaid over a period of between one and five years, occupying the middle ground between the permanent capital of long-term sources and the fleeting, revolving nature of short-term finance. These sources are most commonly used to acquire moderately priced equipment, fund working capital build-up ahead of a seasonal peak, or bridge a business through a period of expansion that does not yet justify the cost and formality of raising long-term capital. Medium-term finance tends to strike a balance between cost and flexibility, and lenders providing it usually require some form of security, though generally less onerous than what accompanies a twenty-year term loan.

3.1 Medium-Term Bank Loans

Medium-term bank loans are loans extended by commercial banks for periods generally ranging from one to five years, used to finance the acquisition of plant, vehicles, moderate renovation projects, or to provide a cushion of working capital during a period of planned growth. Unlike long-term loans, medium-term facilities are typically repaid through structured monthly or quarterly instalments over the shorter tenure, and interest rates, while usually higher than on long-term secured facilities, remain considerably lower than short-term or unsecured borrowing.

This source offers businesses a manageable repayment structure that is neither as protracted as a long-term facility nor as pressing as short-term debt, and the application process, while still requiring a business plan and some collateral, is typically less demanding than that for long-term capital market instruments. The recurring instalment obligation nonetheless represents a fixed drain on cash flow that must be met irrespective of how the business is performing in a given month, and banks will often still require a personal guarantee or fixed asset security, which can be a barrier for younger or asset-light businesses.

3.2 Hire Purchase

Hire purchase is a financing arrangement under which a business acquires an asset, commonly vehicles, machinery, or office equipment, by paying an initial deposit followed by a series of instalments over an agreed period, typically between one and five years, at the end of which

ownership of the asset passes to the business. Unlike a finance lease, where the lessor generally retains legal title even at the end of the term unless a purchase option is exercised, hire purchase is structured from the outset as a path to eventual ownership.

The arrangement allows a business to use and benefit from an asset immediately while spreading its cost over time, and because the asset itself typically serves as security, hire purchase is often accessible to businesses that might struggle to secure an unsecured loan of similar size. The interest embedded in the instalments, however, makes hire purchase a relatively costly way of acquiring an asset compared with outright cash purchase, and default on instalments can result in repossession of the asset before the business has built up meaningful equity in it.

3.3 Leasing (Operating Lease)

An operating lease, distinguished from the finance lease discussed under long-term sources, is a shorter-term rental arrangement in which the lessor retains substantially all the risks and rewards of ownership, including responsibility for maintenance and insurance in many cases, and the lease term covers only a portion of the asset's useful life. Operating leases are common for office equipment, computers, and vehicles that businesses prefer to update periodically rather than own long-term.

The principal appeal of operating leases is flexibility: a business can access up-to-date equipment without the burden of ownership, obsolescence risk is transferred to the lessor, and the lease payments are typically treated as a straightforward operating expense. The cumulative cost of repeated operating leases over many years can, however, work out more expensive than ownership, and a business builds no equity or residual value in an asset it never comes to own.

3.4 Medium-Term Notes and Corporate Debentures

Medium-term notes are debt instruments issued by companies, typically to institutional investors, with maturities that fall between one and five years, filling the gap between short-term commercial paper and long-term bonds. They allow a company to tailor the amount, maturity, and interest structure of each issuance to its specific funding needs, often issued in a continuous programme rather than as a single, one-off transaction, which gives the issuer considerable flexibility in timing its access to the market.

Because medium-term notes are typically placed with institutional investors rather than sold to the general public, the issuance process tends to be quicker and less costly than a full public bond offering, and the issuer benefits from the tax-deductibility of the interest paid. Even so, this source is generally accessible only to companies of reasonable size and established credit standing, since institutional investors will only commit funds to issuers whose repayment capacity can be reasonably assessed, which places this option largely out of reach for small and newly established businesses.

3.5 Fixed Deposits and Loans from Development Finance Institutions

Some companies raise medium-term funds by inviting fixed deposits directly from the public or from their own shareholders and employees, promising a fixed rate of interest over a stated period, commonly between one and three years. In addition, development finance institutions and specialised agricultural, industrial, or export-import banks frequently extend medium-term facilities specifically designed to support equipment acquisition, working capital build-up, or trade finance needs of businesses in sectors the institution is mandated to support.

Fixed deposits allow a company to raise funds directly from its immediate stakeholders at a rate that may be more favourable than what a bank would charge, while development finance institution loans often come with a lower interest rate and more patient repayment terms than a conventional commercial bank would offer, reflecting the developmental, rather than purely commercial, mandate of such institutions. The volume of funds obtainable through fixed deposits is nonetheless usually limited by the size and confidence of the depositor base, and development finance loans are frequently tied to specific sectors, project types, or conditions that not every business will meet.

4.0 Short-Term Sources of Finance

Short-term sources of finance are funds obtained for periods generally not exceeding one year, and in many instances running for only a matter of days or weeks. These sources exist primarily to fund the working capital cycle of a business, that is, the day-to-day gap between paying for raw materials, wages, and overheads on one hand, and collecting cash from customers on the other. Because the funds are needed and repaid so quickly, short-term finance is typically cheaper on a per-transaction basis, though frequent renewal and rollover can, over a year, make it costlier than it first appears, and it is generally unsecured or secured against current assets such as stock and receivables rather than fixed property.

4.1 Trade Credit

Trade credit arises when a supplier allows a business to take delivery of goods or services and defer payment for an agreed period, commonly thirty, sixty, or ninety days, rather than requiring cash on delivery. It is, in effect, an interest-free loan extended by one business to another as a matter of ordinary commercial practice, and for many small and medium enterprises it is the single most heavily relied upon source of short-term finance, simply because it requires no formal application and involves no interest charge, provided payment is made within the agreed period.

Trade credit is attractive precisely because it is free of explicit interest cost and does not require collateral or a lengthy approval process, making it especially valuable to businesses whose access to formal credit is limited. Suppliers, however, often build the cost of extending credit into their selling

price, so the true cost is not always zero, and many suppliers offer a discount for early cash payment, meaning that a business that routinely takes the full credit period is, in effect, forgoing that discount. Persistent late payment, moreover, can damage supplier relationships and jeopardise future credit terms or even the continuity of supply.

4.2 Bank Overdraft

A bank overdraft is a facility that allows a business to withdraw more money from its current account than it actually holds, up to an agreed limit, with interest charged only on the amount actually overdrawn and only for the period it remains outstanding. It is one of the most flexible short-term financing tools available, since funds can be drawn down and repaid repeatedly within the agreed limit without the need to renegotiate terms each time.

The flexibility of an overdraft, and the fact that interest is charged only on the actual daily overdrawn balance rather than on a fixed sum, makes it a cost-effective way of managing short-term cash flow fluctuations, such as a temporary shortfall while waiting for customer payments to come in. Overdraft facilities are, however, technically repayable on demand, meaning a bank can, in principle, call in the facility at short notice, and interest rates on overdrafts tend to be higher than on structured term loans, which makes an overdraft an unsuitable and expensive way to fund anything beyond genuinely short-term needs.

4.3 Commercial Paper

Commercial paper is an unsecured, short-term debt instrument issued by large, financially strong companies, typically with maturities ranging from a few days to two hundred and seventy days, sold directly to institutional investors and money market funds at a discount to its face value, with the difference representing the return to the investor. It is generally issued only by companies with a strong credit rating, since it carries no collateral backing and relies entirely on the market's confidence in the issuer's ability to repay.

Because it bypasses the bank as an intermediary, commercial paper is often a cheaper source of short-term funds than a bank overdraft or short-term loan for the large, creditworthy companies that qualify to issue it, and it allows such companies to diversify their sources of short-term funding rather than relying solely on their bankers. The instrument is, however, simply unavailable to small or medium-sized businesses, or to any company without an established credit rating and reputation in the money market, and reliance on it exposes even large issuers to the risk that market conditions could tighten suddenly, making it difficult to roll over maturing paper.

4.4 Factoring and Invoice Discounting

Factoring is an arrangement in which a business sells its trade receivables, that is, the amounts owed to it by its customers, to a specialised finance company known as a factor, at a discount, in exchange for immediate cash. The factor then takes over the responsibility of collecting payment from the customers and, depending on whether the arrangement is with or without recourse, may also absorb the risk of any customer default. Invoice discounting is a closely related arrangement in which the business borrows against the value of its outstanding invoices while retaining responsibility for collecting them itself, with the arrangement remaining confidential to the business's customers.

Factoring converts receivables into immediate cash, easing the working capital pressure that arises when customers are slow to pay, and it also shifts the administrative burden, and in some arrangements the credit risk, of collecting outstanding debts onto the factor. The cost of factoring, comprising both a discount charge and a service fee, can be significant, and reliance on it can, in the case of disclosed factoring, signal to customers and the wider market that the business is facing cash flow difficulties, which may affect its standing with suppliers and clients alike.

4.5 Short-Term Bank Loans

Short-term bank loans are loans extended for a fixed period of typically less than one year, used to bridge a specific, identifiable short-term need such as financing a seasonal build-up of stock ahead of a peak selling period, or covering a temporary shortfall pending the receipt of a large expected payment. Unlike an overdraft, a short-term loan is usually drawn down in a single lump sum and repaid according to a fixed schedule or in a single payment at maturity, rather than being available for repeated drawdown.

This source offers the certainty of a fixed repayment date and, for a well-defined short-term need, can be more straightforward to plan around than the revolving and less predictable nature of an overdraft. Interest rates on short-term loans, while typically lower than on an overdraft, are nonetheless higher than what long-term secured facilities attract, reflecting the administrative cost of arranging what is, for the bank, a relatively small and short-lived transaction, and the fixed repayment date can itself create pressure if the anticipated cash inflow that was meant to fund repayment is delayed.

4.6 Accrued Expenses and Accruals

Accruals refer to expenses that a business has already incurred but has not yet paid for, such as wages earned by employees but not yet disbursed, taxes owed but not yet remitted to the relevant authority, or utility bills consumed but not yet invoiced or settled. While these are not a deliberately arranged source of finance in the way a loan or an overdraft is, the timing gap between incurring the obligation and actually paying it effectively provides the business with a short, interest-free period of financing, and businesses that manage their payment cycles carefully can use this gap to ease short-term cash pressure.

Accruals cost the business nothing in interest and require no negotiation or application, making them, in a narrow sense, the cheapest form of short-term finance available. They are, however, not something a business can deliberately expand at will, since the amounts involved are dictated by the natural rhythm of wages, taxes, and statutory obligations, and any attempt to stretch these payment timelines beyond what is legally or contractually permitted, particularly with regard to statutory remittances such as taxes and pension contributions, exposes the business to penalties and legal consequences.

4.7 Bills of Exchange and Bill Discounting

A bill of exchange is a written, unconditional order by one party, usually a seller, directing another party, usually a buyer, to pay a specified sum of money either immediately or at a fixed future date. Once accepted by the buyer, or by a bank on the buyer's behalf, the seller who needs immediate cash can discount the bill with a bank, that is, sell it to the bank at less than its face value, receiving cash straightaway while the bank collects the full amount from the buyer when the bill falls due.

Bill discounting gives a business immediate access to cash tied up in a sale on credit terms, and because the bill is a negotiable instrument backed by the buyer's acceptance, banks generally regard it as lower risk than an unsecured overdraft, which can translate into a more competitive discount rate. The mechanism does, however, depend on the buyer being of sufficiently sound standing for a bank to be willing to discount the bill in the first place, and if the buyer subsequently defaults, the seller may still bear some liability depending on the specific terms under which the bill was discounted.

5.0 Choosing Among the Sources: A Comparative Note

Having discussed the subcategories under each of the three broad classifications, it is worth pausing to consider what actually guides an organisation's choice among them, because in practice a company rarely relies on a single source in isolation. The nature and purpose of the project is usually the starting point: a factory expansion calls naturally for long-term capital, a seasonal stock build calls for short-term facilities, and the acquisition of a delivery fleet might comfortably be financed through medium-term hire purchase or leasing.

The cost of each source, both the explicit interest or dividend cost and the less visible costs of arrangement fees, dilution of control, and restrictive covenants, must be weighed against the flexibility it offers. Long-term sources generally carry a higher explicit cost but relieve the business of the pressure of frequent renewal, while short-term sources tend to look cheaper per transaction but can accumulate significant cost and uncertainty if a business becomes permanently dependent on what is meant to be a temporary facility. The size, age, and credit standing of the business also matter enormously: a young, unlisted, asset-light company is simply excluded from sources such as

commercial paper or a public bond issue that remain open to large, established corporations, and must instead build its financing structure around trade credit, hire purchase, retained earnings, and bank facilities.

Finally, the matching principle referred to at the outset of this paper remains the single most important discipline in this whole exercise. A business that finances a fixed asset with an intended life of ten years using a ninety-day overdraft is exposing itself to unnecessary refinancing risk, just as a business that ties up funds meant for daily operations in a long-term bond is starving its working capital cycle of the liquidity it needs to function from one week to the next. Sound financial management, in the end, is less about identifying the single best source of finance and more about assembling the right combination of long-term, medium-term, and short-term sources to match the specific timing and risk profile of each need a business faces.

6.0 Conclusion

The decision on how to finance a project or investment is never a mechanical exercise of picking whichever source of funds happens to be available at the time. It is, instead, a careful matching of the tenure, cost, and risk profile of a financing option against the nature of the need it is meant to serve, and it is precisely for this reason that sources of finance are conventionally organised into the long-term, medium-term, and short-term categories examined in this paper. Long-term sources such as equity, preference shares, debentures, long-term loans, retained earnings, venture capital, and finance leases exist to fund the enduring, capital-intensive commitments of a business. Medium-term sources such as term loans, hire purchase, operating leases, medium-term notes, and fixed deposits bridge the gap for needs that outlast a single trading cycle but do not warrant permanent capital. Short-term sources such as trade credit, overdrafts, commercial paper, factoring, short-term loans, accruals, and bill discounting keep the day-to-day working capital cycle of a business turning.

An organisation that understands the distinct character of each of these sources, and that resists the temptation to use a convenient source simply because it is available rather than because it is appropriate, places itself in a far stronger position to fund its ambitions without compromising its financial stability. The subcategories discussed above are not exhaustive of every financing arrangement in use around the world, and new instruments continue to emerge as financial markets evolve, but they represent the core building blocks from which most corporate financing structures, in Nigeria and elsewhere, continue to be assembled.